Missoula's Housing Capacity Is Already on the Books

Where the Growth Policy makes room for the next ~43,000 homes — and where that capacity clusters

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Executive Summary

The finding: The City does not need to find new land or amend its plan to meet its housing goals — it can add roughly 43,000 homes by removing the conversion friction between what the adopted plan already allows and what gets built. Missoula's adopted Growth Policy makes room for those homes on vacant and economically underbuilt land — about as many homes as the city has today (~44,300), and 1.6–2× the 2045 Land Use Plan's 22,000–27,500-home target, netting out floodway and steep-slope acres. Half of that capacity is small-scale infill on parcels of five acres or less; the strongest clusters (99% confidence) hold a quarter of it on ~2% of the urban fabric.

The recommendation: As the City rewrites its development code, align zoned entitlements with the Growth Policy in the handful of corridors where capacity already clusters — and pair that upzoning with preservation for the 530 mobile-home parcels (~2,850 of Missoula's most affordable homes) that sit on the same planned-density land.

The mission

Missoula is considering policy changes to **advance housing affordability and smart growth**, at a moment when Montana's land-use rules are shifting under the 2023 Montana Land Use Planning Act and the City is rewriting its development code through the Our Missoula code-reform project. The adopted Our Missoula 2045 Land Use Plan sets the target: roughly **22,000–27,500 new homes by 2045**.

The solution

The City does not need to find new land or amend its plan to hit that target — it needs to remove the friction that keeps already-planned homes from being built. Measured against the adopted future land-use map (this dataset carries the 2035-vintage designations), vacant and underbuilt parcels already provide ground for **~43,000 homes at conservative midpoint densities — the 2045 target, 1.6 to 2 times over**. The binding constraint is not land; it is conversion friction: zoning that has not caught up with the plan, review process, and infrastructure timing.

That solution serves both stated goals at once. Affordability: the supply lands where demand already is, and the analysis flags the low-cost homes that need protecting while it happens. Smart growth: the capacity sits inside the existing urban fabric, nets out floodway and steep slopes, and 58% of it is within a quarter-mile of a bus stop — growth inward, not outward.

Approach

We work from the City of Missoula taxlot layer — **32,974 parcels** with existing use, dwelling units, assessed values, current zoning, Growth Policy future land use, and floodplain/steep-slope shares[1]. For every parcel whose future land-use designation calls for housing, we compute **plan-enabled capacity**: the parcel's developable acres (net of floodway and steep slope) times an assumed allowable density for its designation, minus the dwelling units already standing[2].

We then keep only parcels where that capacity is **realistically addressable**: vacant, or economically soft (assessed improvements worth less than the land under them), excluding public and institutional land, parks and open space, master condo records — and mobile-home parks, which score as "soft" but are naturally occurring affordable housing (they get their own finding below, as a risk rather than an opportunity). Finally, a **Getis-Ord Gi*** analysis on a 1,000-ft hex grid finds where that capacity clusters. Full detail: Methods & Sources.

[1] Areal math is done in NAD83 State Plane Montana (feet), the layer's native projection. See Methods & Sources for cleaning decisions, including ~900 curve geometries and the flood/slope fields where missing genuinely means zero.

[2] Densities are the midpoints of the adopted 2035 Growth Policy designation ranges (e.g., Residential Medium 3–11 du/ac ⟶ 7), as those ranges are applied in the City's own annexation and rezoning staff reports; they are centralized in `code/00_setup.R`. This is *plan-implied* capacity from the City's future land-use map, deliberately distinct from current zoning: it measures what the City has already agreed growth should look like.

Finding 1 — The capacity concentrates in a few corridors

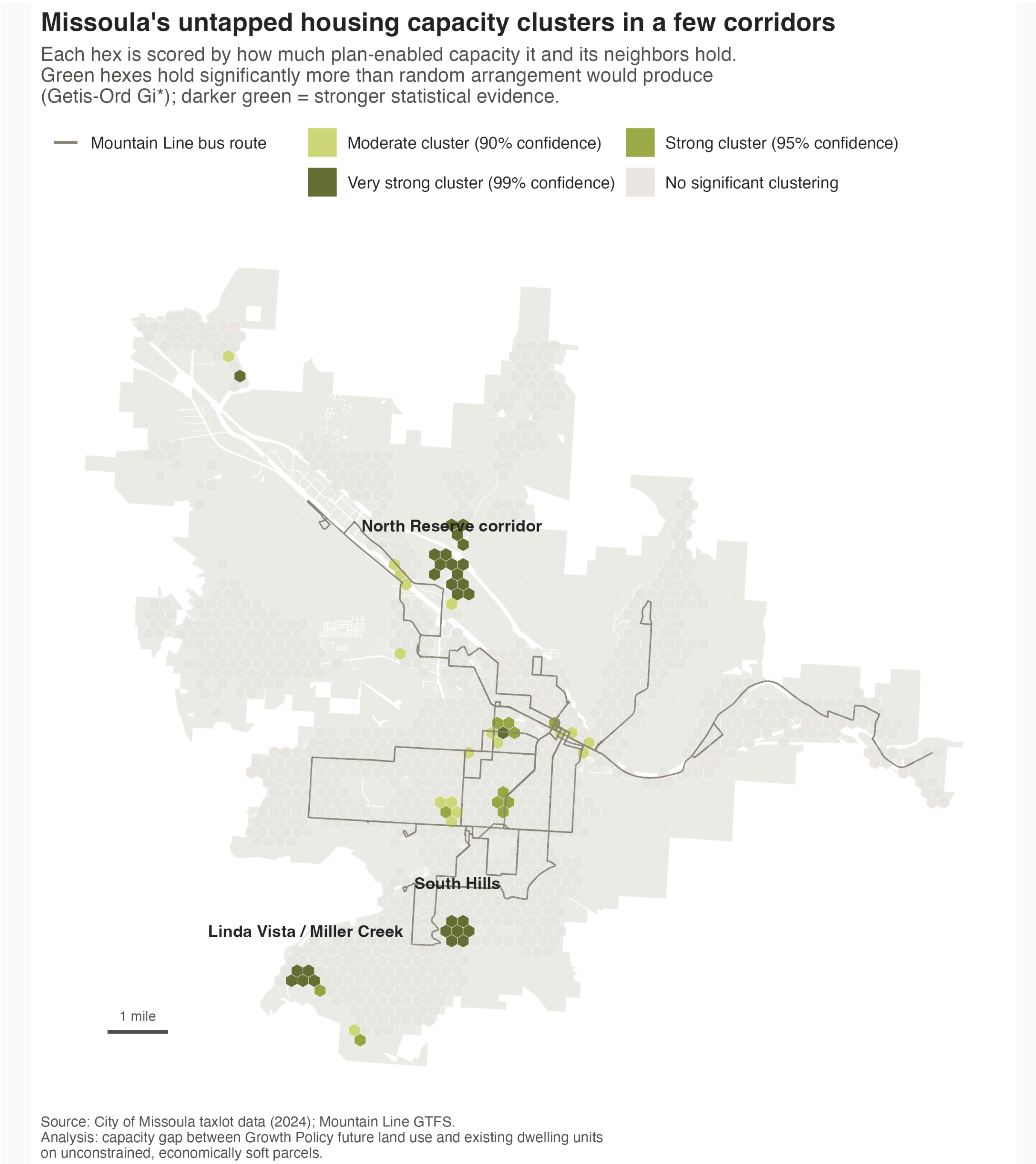

Figure 1: Green hexes hold significantly more plan-enabled capacity — counting each hex together with its neighbors — than a random arrangement of the same parcels would produce (Getis-Ord Gi*); darker green means stronger statistical evidence, not more capacity. The three biggest clusters — labeled and verified by reverse-geocoding — are the North Reserve corridor, the Linda Vista/Miller Creek area, and the South Hills. The 29 hexes at 99% confidence alone hold ~11,400 units — a quarter of the citywide total on ~2% of the urban fabric.

Untapped capacity is not evenly distributed across the city. Aggregated to a 1,000-ft hex grid and tested for spatial clustering, **29 of 1,188 hexes (~2.4%) are capacity clusters at 99% confidence — five times as many as chance would produce — and they hold ~11,400 of the ~43,000 plan-enabled units**. Widening to the 95%+ envelope adds 11 hexes for ~14,600 units; the concentration finding is robust to a false-discovery-rate correction (see Methods). These are the places where code reform, infrastructure investment, and permitting capacity would do the most work per acre: the North Reserve corridor, the Linda Vista/Miller Creek area, and the South Hills, with smaller significant clusters through midtown. The capacity is also transit-aligned in a measurable sense: **58% of all plan-enabled units sit within a quarter-mile walk of one of Mountain Line's 334 bus stops** (agency GTFS) — growth where zero-fare transit already runs.

Finding 2 — The plan already makes room for ~43,000 homes

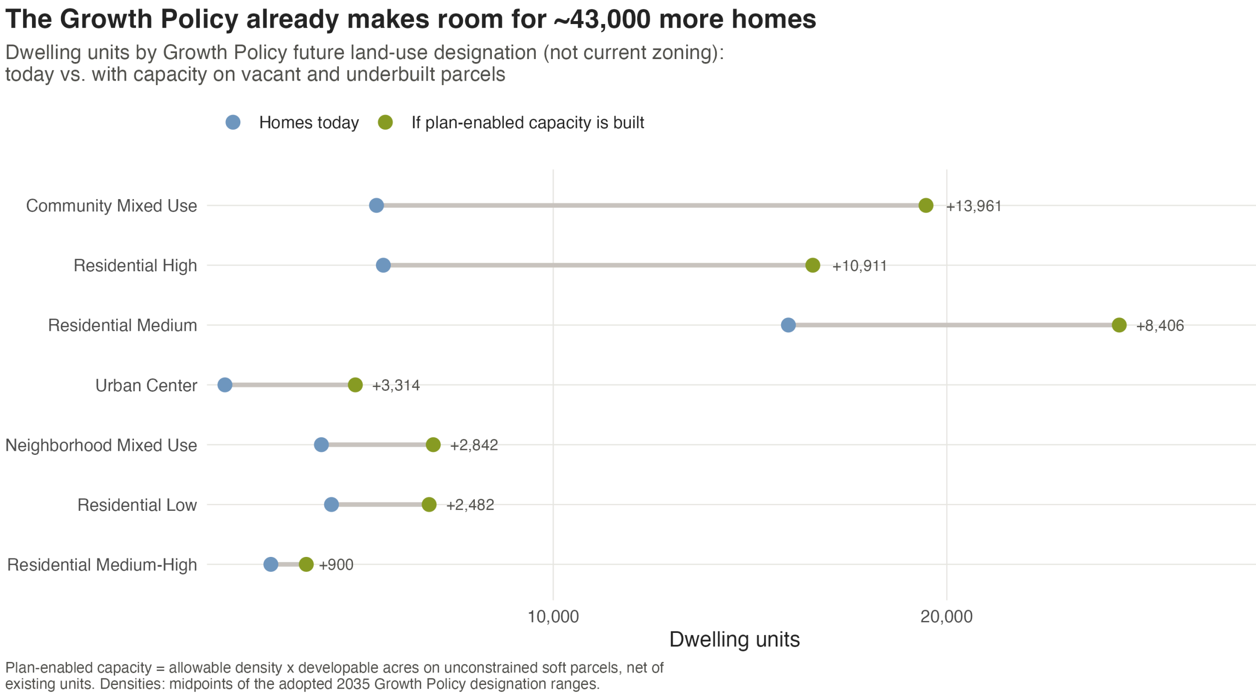

Figure 2: Dwelling units by Growth Policy future land-use designation: homes on the ground today (blue) versus today plus plan-enabled capacity on vacant and underbuilt parcels (green). Community Mixed Use and the medium/high residential designations carry most of the headroom.

Summing across designations, **3,419 opportunity parcels (~4,200 acres) carry ~43,000 plan-enabled units** — nearly a one-for-one doubling of the existing ~44,300-unit stock[3]. Roughly half of that capacity sits on vacant land and half on economically underbuilt parcels whose improvements are worth less than the land beneath them. This is not a rezoning wish list: every unit is consistent with the future land-use map the City has already adopted, on acreage that nets out floodway and steep-slope land.

[3] Taxlot dwelling-unit sum (44,317), which includes ~2,050 group-quarters beds on 54 parcels; the ACS counts ~36,000 conventional housing units citywide, so the comparison is indicative rather than census-exact.

Finding 3 — Half the opportunity is small-scale infill

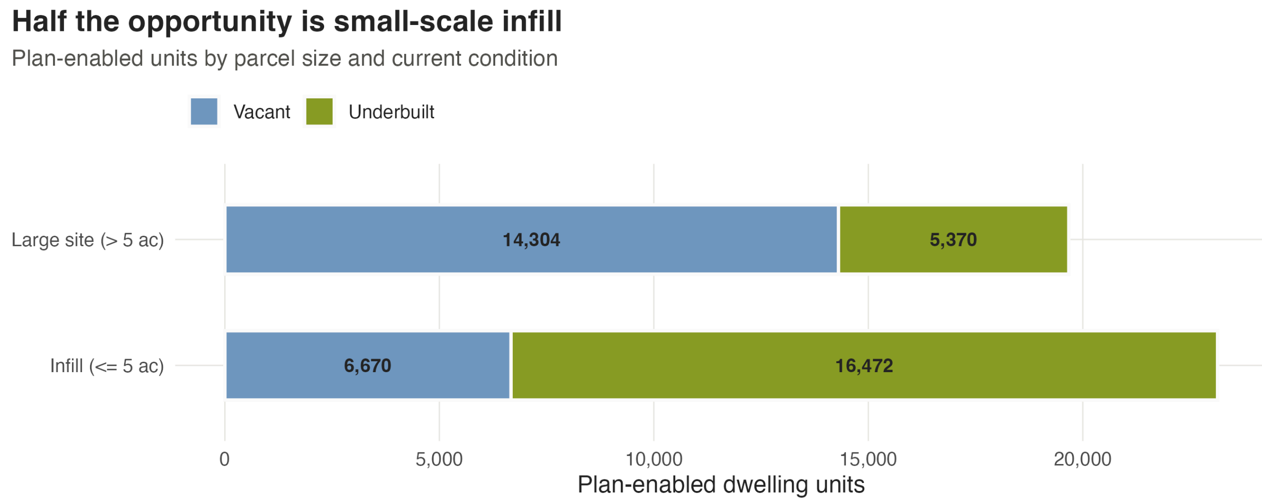

Figure 3: Plan-enabled units by parcel size and current condition. Small parcels (≤ 5 acres) — the scale of an individual owner, a small builder, a neighborhood lot — carry half the citywide total.

Large vacant tracts draw most of the attention, but the volume sits elsewhere: **parcels of five acres or less carry ~23,100 units — 54% of the total**, most of it on *underbuilt* rather than vacant land. The distinction matters for policy design: large-site capacity is unlocked by master planning and infrastructure; small-site capacity is unlocked by **by-right approvals, missing-middle allowances, and simpler review** — exactly the levers a development-code rewrite controls.

The affordability lens — ~2,600 of the city's lowest-cost homes sit in the growth path

Missoula is a **majority-renter city**: 52% of households rent, and **half of those renters (49.9%) are cost-burdened**, paying more than 30% of income for housing (ACS 2019–2023). This is the demand side of the capacity story, and it falls hardest on the households with the least room to absorb it.

But the same market forces that would fill the capacity clusters also threaten the affordability that already exists. Using assessed values, we flag the city's **naturally occurring affordable housing (NOAH)** — the bottom quartile of homes by assessed value per unit, everything under roughly **$240,000 per unit** (~6,700 parcels, ~23,800 units).

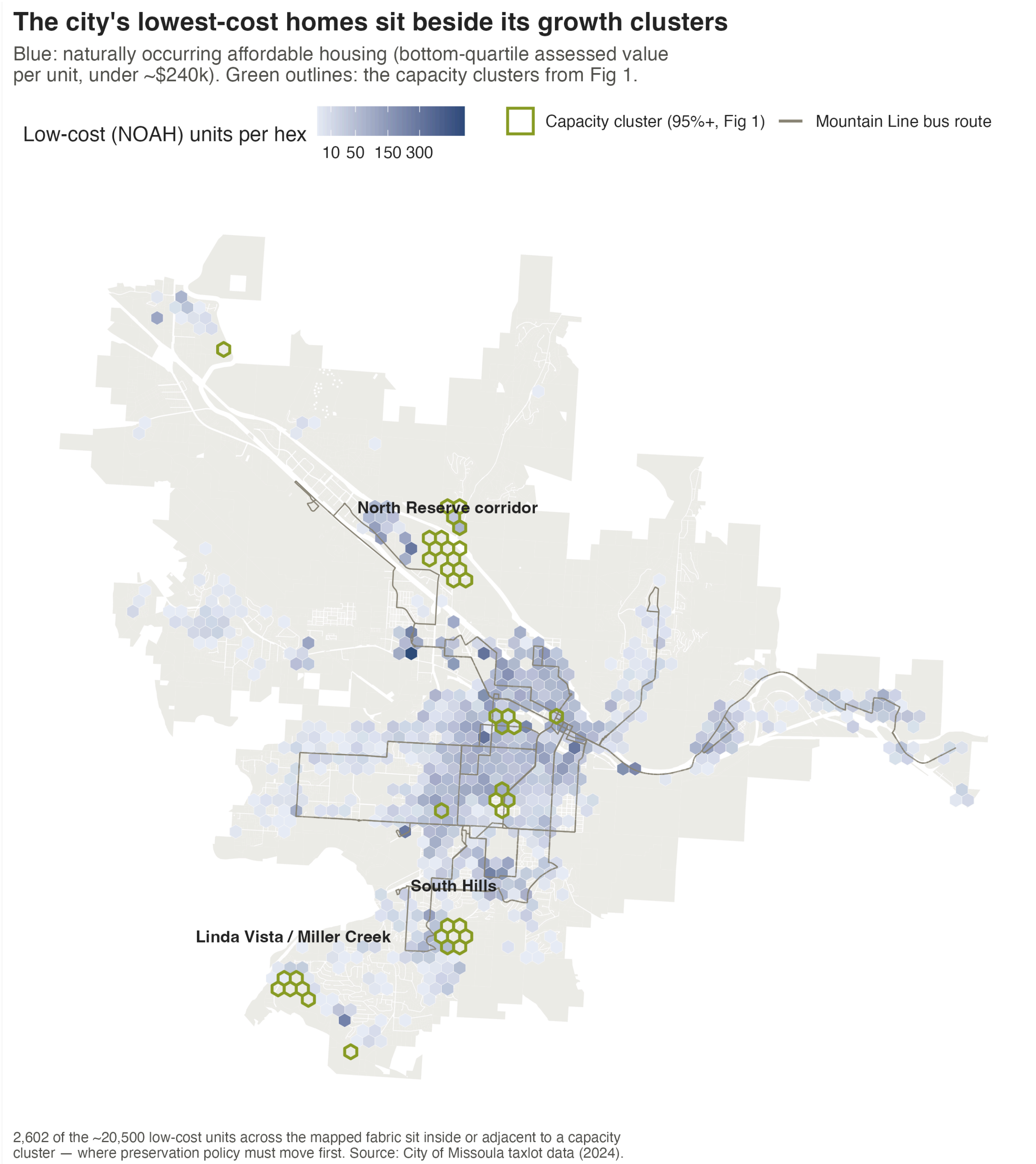

Figure 4: Blue hexes shade where the low-cost stock concentrates; dark-green outlines are the 95%+ capacity clusters from the hero map. The overlap is where displacement pressure would concentrate: **~2,600 low-cost units sit inside or directly adjacent to a capacity cluster.**

The sharpest case is mobile homes: **530 mobile-home parcels holding ~2,850 units sit on land the Growth Policy designates for higher density**. Their improvement values are low, so any market-driven realization of the plan's capacity puts them first in line for redevelopment — which is why they are excluded from the opportunity count entirely. The policy implication is sequencing: pair the capacity strategy from the start with preservation tools — mobile-home park resident-ownership conversions, NOAH acquisition funds, zoning overlays, relocation standards — in exactly the hexes where the two maps overlap.

What this means for the code reform

1. **Align zoning with the plan where capacity clusters.** The North Reserve, Linda Vista/Miller Creek, and South Hills clusters are where the gap between the future land-use map and current entitlements costs the most homes. Start the rewrite there.
2. **Make small infill easy.** Half the capacity is on small parcels; by-right missing-middle allowances and streamlined review are the levers that convert it into permitted homes.
3. **Protect the residents already providing affordability.** Preservation for the 530 mobile-home parcels before — not after — the surrounding land appreciates.

Caveats

Plan-enabled capacity is **what the adopted plan makes room for, not a development forecast**: it ignores ownership, market feasibility, and infrastructure timing. Densities use the midpoints of the Growth Policy's designation ranges — the plan's ceiling would roughly double the headline. Assessed values proxy price levels, not rents, so the NOAH flag marks *relative* affordability; the quarter-mile walkshed is straight-line, which slightly overstates walk access. The Sxwtpqyen master-plan area carries its own designation we conservatively treat as non-residential, so the true total is likely *higher*. See Methods & Sources.

Note

Data sources.

- City of Missoula taxlot layer (2024) with assessor, zoning, Growth Policy future land use, and constraint attributes (provided for this exercise)
- Field map / data dictionary accompanying the taxlot layer
- Mountain Line GTFS feed (stops and routes, July 2026)
- American Community Survey 2019–2023 5-year estimates, Missoula city (tenure B25003, rent burden B25070)
- Our Missoula 2035 Growth Policy designation density ranges, as applied in City annexation/rezoning staff reports; Our Missoula 2045 Land Use Plan housing targets

Analysis and figures: Kasey Zapatka, 2026. Full methodology: Methods & Sources. Code: github.com/kaseyzapatka/cascadia.